

# Image and Reputational Characteristics of UK Charitable Organizations: An Empirical Study

Roger Bennett

London Metropolitan University, UK

Helen Gabriel

London Metropolitan University, UK

## ABSTRACT

*One hundred and sixty-one members of the general public were questioned about their perceptions of the images and reputations of major UK charities. It emerged that variation within the response data was best accounted for by a restricted model wherein specific aspects of charity 'image', on the one hand, and charity 'reputation' on the other, represented particular subdivisions of each construct. Thus, image and reputation were not seen as elements of the same single concept. The factors underlying charity image related to compassion, dynamism, idealism, focus on beneficiaries and being seen as 'non-political'. Charity reputation, conversely, was largely determined by first the variables found in the Fortune corporate reputation index and, secondly, whether a charity was regarded as 'well known' by respondents. It appeared that a charity's image and reputation exerted a strong influence on donor behavior.*

## INTRODUCTION

In 2002 the UK had approximately 195,000 registered charities with a combined annual income of about £20bn (Charity Commission, 2003). The charitable sector employed around 0.5 million full-time workers and contributed 0.68 per cent of the nation's 2001 gross domestic product. About 160,000 of these charities were 'general', ie not comprising clubs and societies, educational institutions, housing associations,

trade unions or places of religious worship. Competition among general charities *vis-à-vis* attracting public donations is intense consequent to:

1. The proliferation of charities resulting from the British government's withdrawal from many areas of medical and social welfare provision (Sargeant, 1995).
2. The adoption by charities of a market focus and the latest management and marketing methods (Bennett, 1998; Bennett and Gabriel, 1998).
3. The fund-raising successes achieved in the 1990s by the UK's largest charities, which had the effect of diverting donations away from smaller charitable organizations (Jenkins and Jolly, 1999).

Concern for the effective management of a charity's image has accompanied the trend towards marketing orientation. In particular, the model set by a number of high-profile UK charities which renamed and repositioned themselves in the early 1990s greatly encouraged other charities to manage their images in a systematic manner (Sargeant, 1995). These high-profile charities achieved increases in income of upwards of 10 per cent *per annum* following their adoption of new images. Specific examples include the relaunch of the

Spastics Society as SCOPE; the renaming of the National Marriage Guidance Council as Relate; the decision of the Royal National Institute for the Blind to abandon its long-established 'man with a white stick' logo; and the mental health charity MENCAP's abdication of its traditional 'Little Tommy' representation (showing a child with an obvious learning difficulty) in favor of more 'attractive' depictions.

As well as contributing significantly to financial performance, a sound image can enhance a charity's ability to influence key external audiences (local and national politicians for example) (Saxton, 1995; Tapp, 1996; Sargeant, 1999). Note, however, that 'image' is a multifaceted construct with numerous dimensions. Balmer's (1998) review of image management literature, for instance, identified three distinct and disparate paradigmatic approaches to (corporate) image (psychological, graphic design and marketing), each of which presented several diverse definitions of the meaning of the word 'image' (see Balmer, 1998: 966–970). There are nevertheless a number of commonalities across various interpretations of image, mainly focusing on the idea that it concerns the knowledge, feelings, and beliefs about an organization that exist *in the thoughts of its audiences* (see Hatch and Schultz, 1997), ie 'what comes to mind when one hears the name or sees the logo' (Gray and Balmer, 1998: 696). Image, therefore, is 'the set of meanings' through which people know, describe, remember and relate to an organization (Dowling, 1986: 109). It results from 'the interaction of a person's beliefs, ideas, feelings and impressions' about the entity (Dowling, 1986: 110) and helps simplify concepts of good/bad and pleasant/unpleasant in relation to its being (van Riel, 1995). Image differs from 'identity' in that the latter has been defined as an organization's 'innate character', ie 'a description of "what the organization is" that affects

everything the organization says, does and produces' (Balmer, 1995: 25). Thus, identity has as much to do with behavior as appearance. The cornerstone of identity, according to Balmer (1995: 25), is an organization's 'personality', ie the 'mix of ideologies present within the organization and as such reflecting the various loyalties personnel have to different cultures' (p.25). These factors allegedly coalesce to form an identity characterising, in the words of Albert and Whetten (1985: 264), 'that which is central, distinctive and enduring about an organization'. Image, conversely, is the *mental interpretation* of an entity and as such can be manipulated in the minds of an organization's audiences. It is axiomatic, therefore, that an organization's image needs to be consciously managed.

#### **CHARITY IMAGE AND CHARITY REPUTATION**

'Reputation' is a concept related to (but differing from) image and connotes a value judgment about an organization's qualities 'built up over a period and focusing on what it does and how it behaves' (Balmer, 1998: 971). Thus reputation has a historical dimension since it represents 'the estimation of the consistency over time of an attribute of an entity ... based on its willingness and ability to perform an activity repeatedly in a similar fashion' (Herbig and Milewicz, 1995: 24). Fombrun and van Riel (1997) similarly emphasize the historical nature of reputation which, they suggest, is a 'subjective, collective assessment of an organization's trustworthiness and reliability' based on past performance (Fombrun and van Riel, 1997: 10). Because reputations evolve over time they cannot be fashioned as quickly as images. Moreover, a charity might have a good reputation (eg for providing excellent medical care for beneficiaries) yet possess a low-impact, old-fashioned or otherwise inappropriate image. The reverse could also be

true: a strong image crafted via a powerful organizational identity program, advertising, public relations, and integrated marketing communications might not be matched by a cogent reputation.

Charities need *both* a salient image and a sound reputation. The latter enables a charity to withstand occasional adverse publicity, stimulates trust, encourages donor loyalty, and enhances the organization's competitive (fund-raising) position (cf. Fombrun and Shanley, 1990). Reputation, moreover, could be crucial to a charity's ability to reach beneficiaries.

The Samaritans (a charity that helps people suffering from acute depression), for example, has an excellent reputation for providing a confidential 24-hour counseling service and thus is more likely to be sought out by people requiring emotional support. Similar considerations may apply to cancer care services, HIV/AIDS charities, drugs rehabilitation units, etc. Fombrun and Shanley (1990) note how a good reputation can serve as a value signal in situations of information overload, complexity or inadequacy. According to Fombrun and Shanley, people frequently employ their perceptions of an organization's reputation to interpret 'ambiguous information signals' about it and hence to 'gauge its relative merits' (Fombrun and Shanley, 1990: 233). Arguably, reputational judgments create expectations in the public mind about how a charity will behave in the future (cf. Saxton, 1998) and thus may affect long-term willingness to donate to the charity (Sargeant, 1999) and the latter's ability to attract volunteers and high-quality staff (Paton, 2002). Also, reputation has been found to correlate positively with strong organizational identification among employees (Dutton *et al.*, 1994).

The effective management of a charity's image is equally important, as it is known that an excellent charity image is a significant determinant of donation income (see

for example, Tapp, 1996; Dolon, 1998; Kennedy, 1998; Sargeant, 1999); influences consumer preferences for charity branded products (Tapp, 1996; Ramrayka, 1998); and generates 'halo effects' *vis-à-vis* a wide range of organizational activities (cf. Park and Lessig, 1985). Van Riel (1995) noted the usefulness of a carefully constructed image in 'low involvement' situations (which could include a casual decision to respond to a charity's request for a donation) wherein individuals are not motivated to process information extensively. Here, people are susceptible to influence by peripheral cues such as a positive image. The latter, moreover, might provide a person with a seemingly rational basis for giving to one charity rather than another, and could impart authority and 'emotional value' to transactions with the charity in question (cf. van Riel, 1995: 76).

## THE STUDY

It follows from the above that a charity needs to develop, nurture and maintain both its image *and* its reputation. In order to be able to do this effectively it has to be able to:

1. Identify groupings of image and reputation characteristics within particular dimensions of each construct.
2. Establish which qualities properly belong to each group and the strengths of the connections.
3. Determine how many sub-groups are necessary to explain public perceptions.

Crucially, if charity *image* and charity *reputation* are perceived differently then it should be possible to isolate perceived image factors from perceived reputation factors and thus distinguish clearly between the two constructs. Hence a charity's managers should be able to focus its image and reputation-building activities on those elements most likely to enhance both the

charity's image and its reputation. Otherwise there is a danger that marketing communications resources will be mis-spent through not emphasizing the qualities that contribute most to the creation of a favorable image and a favorable reputation in the minds of key audiences (see Bennett and Kottasz, 2000). Note the desirability of ascertaining whether members of the public do or do not actually make a distinction between traits which the academic literature associates with 'reputation' and those supposedly attached to 'image'. If in reality no such differentiation occurs then the deliberate promotion of a 'reputational' characteristic may at the same time be expected to contribute to the charity's image, so that management need not be concerned with the selection of which specific qualities to emphasize in promotional messages. Conversely, the presence of cognitive distinctions between image and reputation means that different marketing communications strategies are required in order to build up each of these intangible assets.

Accordingly, the present study sought to develop and apply an instrument capable of measuring the perceptions of members of the general public of the main elements of charity image and charity reputation. This matter is important because the availability of such an instrument enables a charity's managers to benchmark its image and reputation against relevant criteria and, if appropriate, initiate changes in the organization's external marketing communications. Also, the relationships between key dimensions of image, reputation and various performance indices may be explored. The following specific hypotheses were tested.

**H<sub>1</sub>:** *Although charity 'image' and charity 'reputation' have disparate lexicographic definitions, members of the public do not distinguish mentally between the two so*

*that all reputational characteristics and all image characteristics are subsumed into a single general construct. Hence: all relevant items will load onto just one dominant factor in a principal axis factor analysis; there will be no meaningful differences between this and remaining factors; and the major factor will account for a large proportion of total variation within the data.*

**H<sub>2</sub>:** *Reputational traits and image traits segment into different groupings representing 'image' and 'reputation' respectively. The groupings involved are themselves highly correlated with each other, however. In this case an oblique (non-orthogonal) factor rotation will generate the best solution.*

**H<sub>3</sub>:** *Variation within the data is best accounted for by a restricted model wherein specific factors represent particular conceptual subdivisions of either the reputation construct or the image construct, with the items in any one factor reflecting only that sub-construct. Thus, each characteristic will only be associated with one of the factors and will load significantly onto just that factor. Here the best solution will result from an orthogonal factor rotation.*

In order to test these hypotheses a questionnaire was developed and administered to 161 members of the public considered typical of people who might donate to charity. The sample comprised three components: first, a group of 54 people approached at random at Liverpool Street Railway Station in the City of London; secondly, a sub-sample of 56 administrative and faculty employees in the researchers' home university and, thirdly, a group of 51 part-time students undertaking 'professional' (ie vocational) courses at the same university. Budget constraints prevented the entire sample being based on railway

station interviews. Hence that particular group was supplemented by the two convenience sub-samples. The railway station interviews were conducted over a three-week period at different times of the day. Market research interviewers stood in the same pre-allocated spot for the entire duration of an investigation to facilitate the random selection of prospects and thus removing any possibility of affinity bias (see Alreck and Settle, 1995). Liverpool Street Station itself serves a wide catchment area encompassing numerous retail outlets, manufacturing companies and providers of financial and other business services. Hence the people passing through the station tend to be employees of organizations or self-employed, and as such the targets of charity fund-raising campaigns (unemployed people were not included in the study). Likewise, all the part-time students were in paid employment. Half the students were female; a quarter were from various (non-white) ethnic minorities. Overall, the student group contained a fair mix of people from various cultural and socio-economic backgrounds and could not be said to be unrepresentative of wage-earning residents of Greater London. Respondents' ages within this sub-sample ranged from 22–40 years, with a median of 29 years. The median age category for the railway station group was 33–39 years; that for the administrative and faculty employees was 41–46 years.

### RESEARCH METHOD

A review of the charity marketing, corporate reputation and nonprofit organization management literature was undertaken in order to generate an initial list of words and phrases potentially relevant to charity image and reputation. The extent of this list was reduced via a systematic procedure and the outcome subjected to exploratory and confirmatory factor analyses. A test for the convergent validity of the resulting

factor structure was then completed. The literature review identified 54 possible scale items; a number so large that the use of all of them in a questionnaire to be completed by busy people in time-constrained situations was not feasible. Hence a scale item reduction procedure was adopted whereby two separate 30-strong groups of part-time vocational students (all of whom were in full-time paid employment) were presented with disparate sets of 27 candidate descriptors and asked to rate them in relation to the charities (see below) specified in the main questionnaire. The order of the items was shuffled in various versions of the listings given to each group so as to remove order effects and to balance the frequencies with which specific descriptors appeared. Any pair of items within a particular semantic group with a correlation of at least  $R=0.8$  was then taken as containing two words or phrases which respondents perceived to mean the same thing. Hence the word or phrase within the pair which had the strongest association with others in the same category was discarded. This resulted in a shortening of the list to 26 items. It also revealed 13 further descriptors which did not correlate significantly with any other and whose retention could not be justified on *a priori* grounds. The remaining 13 items were now incorporated into a questionnaire administered to the main sample and which also contained queries regarding the respondent's age, sex, and level of education.

A summary of the questionnaire is shown in the Appendix which also indicates the literature sources of the various descriptors and items that were deleted. Part A of Section 1 of the questionnaire contains (minor) adaptations of seven of the eight items employed by *Fortune* magazine's annual rankings of the reputations of top US companies, suitably amended for the charity sector. The *Fortune* descriptor 'socially responsible' was not included on

the grounds that *any* major charitable organization should, in principle, satisfy this criterion. (Candidate items 'promotes social justice' (cf. Kennedy, 1998) and 'does public good' (Nichols, 1996) were excluded for the same reason.) The *Fortune* index has been a commonly used and widely debated measure of corporate reputation (see Fombrun, 1998), although it has been criticized for emphasizing *performance* rather than cognitive impressions (Fryxell and Wang, 1994). Accordingly, Section 1B presents further items derived from the corporate reputation literature. Section 1 parts C and D list the 13 descriptors of charity image obtained from academic articles on the subject. Six charity names were used during the investigation: Oxfam, the Royal Society for the Prevention of Cruelty to Animals (RSPCA), Barnardos, the Cancer Research Campaign, the National Society for the Prevention of Cruelty to Children (NSPCC) and SCOPE. These particular organizations were selected as they were the six top ranking charities that had emerged from a previous (1999) study conducted by the authors, and which included a questionnaire item asking 222 respondents to 'name the first charity that comes into your mind'. Each member of the current sample was asked about two of these charities. Alternative charities were substituted if a person claimed not to have heard about either or both of the charities specified in his or her questionnaire.

## ANALYSIS

An exploratory principal axis factor analysis with orthogonal (varimax) and oblique (oblimin) factor rotations was applied to the all-sample data ( $N = 161 \times 2 = 322$ ) to identify the groupings within the descriptors which best represented respondents' perceptions of charity image and reputation. This generated seven factors with eigenvalues greater than unity and which

collectively explained 72 per cent of total variance within the data. The first of these factors accounted for 26 per cent of aggregate variance, the second for 14 per cent, and the seventh for 5 per cent. Thus it was *not* the case that a single factor explained the bulk of the variation in the analysis. Moreover, the factor loadings of each of the 23 scale items were, in general, substantially higher on just one of the factors than on others, suggesting that each descriptor was strongly associated with a particular factor rather than being associated with several different factors. Hence the factors were rotated using the orthogonal and oblique rotation facilities available on SPSS. The oblimin (oblique) solution revealed that none of the correlations between the factors exceeded 0.323, ie below the conventional threshold at which the combination of factors needs to be considered (Nunnally and Bernstein, 1994). Accordingly, a varimax rotation was completed, the outcome of which is shown in Table 1. This seven-factor solution was subjected to a confirmatory analysis using one-, six-, and eight-factor models as alternatives. The seven-factor outcome easily outperformed the rest (Chi-square [230 df.] = 211.3; GFI = 0.93 for the seven-factor model compared with Chi-square = 349.4; GFI = 0.76 for the next best six-factor model).

It can be seen from Table 1 that respondents' perceptions of the six charities covered by the study clearly segmented into seven distinct dimensions: two of these (factors 2 and 4) unambiguously related to 'reputational' characteristics (as defined by the *Fortune* index and/or the academic literature in the reputation field); the others involve various *image* variables identified by researchers in the charity image area. Factor 1 (F1) is labeled 'compassion', after the item with the highest loading on the grouping. It accounts for 23 per cent of total variation in the data and indicates that

**Table 1: Varimax factor analysis**

| <i>Factors</i>                                                  | <i>Loading</i> |
|-----------------------------------------------------------------|----------------|
| <i>F1: 'Compassion'; Lambda = 5.34;</i>                         |                |
| <i>Alpha = 0.95</i>                                             |                |
| Compassionate                                                   | 0.83           |
| Caring                                                          | 0.78           |
| Feeling                                                         | 0.76           |
| Trustworthy                                                     | 0.68           |
| Reliable                                                        | 0.61           |
| <i>F2: 'Reputation'; Lambda = 2.67;</i>                         |                |
| <i>Alpha = 0.91</i>                                             |                |
| The charity uses its assets wisely                              | 0.76           |
| Financially sound                                               | 0.70           |
| Provides an excellent service to beneficiaries                  | 0.67           |
| Well-managed                                                    | 0.63           |
| Capable                                                         | 0.53           |
| Has a good long-term future                                     | 0.50           |
| Has excellent employees                                         | 0.48           |
| <i>F3: 'Dynamism'; Lambda = 2.64;</i>                           |                |
| <i>Alpha = 0.84</i>                                             |                |
| Progressive                                                     | 0.82           |
| Visionary                                                       | 0.77           |
| Innovative                                                      | 0.69           |
| This is a charity that others should try to emulate             | 0.60           |
| Efficient                                                       | 0.51           |
| <i>F4: 'Popularity'; Lambda = 1.59</i>                          |                |
| This charity is very well known                                 | 0.85           |
| This charity has achieved a great deal                          | 0.60           |
| <i>F5: 'Political orientation'; Lambda = 1.51</i>               |                |
| This charity is highly political                                | 0.72           |
| This charity gets things done                                   | 0.50           |
| <i>F6: 'Idealism'; Lambda = 1.26</i>                            |                |
| Idealistic                                                      | 0.85           |
| <i>F7: 'Focus on beneficiaries';</i>                            |                |
| <i>Lambda = 1.13</i>                                            |                |
| Focuses spending on beneficiaries rather than on administration | 0.88           |

public 'trust' in a charity and assessments of its 'reliability' are associated with the impression that it is 'caring' and 'feeling'. The Cronbach's alpha of 0.95 suggests high internal reliability for this grouping of

items. Five of the seven *Fortune* variables loaded on to Factor 2 (F2) with values in excess of 0.5 (the threshold normally regarded as 'significant' in a varimax factor analysis), while a sixth loaded with a value of 0.48. This 'reputation' factor accounted for 12 per cent of total variation, and included 'capability' as the only non-*Fortune* element. Note the 'performance' aspect of this second factor. The third factor ('dynamism') explained 11 per cent of variation and incorporated the remaining *Fortune* item, 'innovativeness'. Examination of Factor 3 (F3) indicates that vision, progressiveness and innovation were qualities that caused people to believe that other charities should seek to emulate the organization in question. 'Efficiency' was attached to this third factor, suggesting that dynamic charities were perceived as being efficient. It is clear that dynamism was a highly valued charity trait so far as this particular sample of respondents was concerned.

Factor 4 (F4 — accounting for 7 per cent of aggregate variation) is dominated by the item 'This charity is very well known', which is associated with the perception that the charity had achieved a great deal. Van Riel (1995: 102) noted the research evidence indicating that, in general, organizations assumed to be 'well known' appeared to be rated higher in reputation terms than less familiar organizations. This might be due, he suggested, to corporate advertising, media visibility and an organization's success in attracting free publicity. Thus, a charity with a high media profile might be seen as more 'important' by members of the public. Likewise, McQuail (1985) suggested that the mass media give more coverage to organizations they *perceive* as being favored by the public. This in turn leads the public to believe that these organizations are important, simply because they receive much media attention (McQuail, 1985). Factor 5 (F5) indicates

unequivocally that charities regarded as highly political are also considered unable to 'get things done' (the loading of the former variable was negative). Moreover there were negative associations between 'being political' and a number of the insignificant loadings on this factor; notably reliability (0.29), capability (0.26), efficiency (0.33), and 'has a good long-term future' (0.41). Each of the two remaining significant factors occupies its own unique factor space, although both are meaningful and important (idealism explains 6 per cent of total variation, 'focus on beneficiaries' accounts for 5 per cent).

The convergent validity of the results was assessed via a separate procedure whereby two further groups were presented with a questionnaire which asked respondents to rate on five-point scales each of 12 possible reasons for admiring a charity. Seven of these reasons related to the factors generated by the present study. (The phrase 'uses its assets wisely' was applied as a proxy for F2.) Five more possible reasons were employed as controls to establish whether the seven suggested factors were in reality more powerful determinants of charity image and reputation than others. These additional descriptors

were taken from Bennett's (1997) survey of the major elements of public perceptions of financial services organizations. If these descriptors performed as well as the seven factors resulting from the present analysis, then it could not be concluded that the latter actually represent the most critical aspects of charity image and reputation. A summary of the questionnaire used to assess convergent validity is outlined in Table 2.

The first group comprised 30 people interviewed at random at Liverpool Street Station; the second consisted of a class (separate from those used for other purposes connected with the investigation) of 33 part-time postgraduate students. Table 3 presents the results for the combined data ( $N=63$ ), as there were no substantial differences in the outcomes for the two samples.

It is evident from Table 3 that ratings for the seven descriptors associated with the suggested factors were substantially higher than for the five other items. Pairwise differences were statistically significant at the 0.05 level or less in all cases except for two items in the column for 'compelling' ('well known' versus 'friendly') and for comparisons of 'warm' and 'accessible' against 'well known' in the column for

**Table 2: Reasons for admiring a charity**

| <i>A</i><br><i>Derived from the present study</i>                | <i>B</i><br><i>Additional items</i> | <i>Respondents were asked (five-point scales★) whether they found each of the above reasons</i> |
|------------------------------------------------------------------|-------------------------------------|-------------------------------------------------------------------------------------------------|
| Compassionate                                                    | Dependable                          | Compelling                                                                                      |
| Uses its assets wisely                                           | Authoritative                       | Relevant                                                                                        |
| Dynamic                                                          | Friendly                            | Believable                                                                                      |
| Very well known                                                  | Warm                                | Persuasive                                                                                      |
| Non-political                                                    | Accessible                          | Forceful                                                                                        |
| Idealistic                                                       |                                     |                                                                                                 |
| Focuses its spending on beneficiaries rather than administration |                                     |                                                                                                 |

*Note: ★5 = highly compelling; 1 = not at all compelling.*



**Table 3: Convergent validity**

|                                                                    | <i>Compelling</i> | <i>Relevant</i> | <i>Believable</i> | <i>Persuasive</i> | <i>Forceful</i> |
|--------------------------------------------------------------------|-------------------|-----------------|-------------------|-------------------|-----------------|
| Compassionate                                                      | 4.12              | 4.00            | 3.69              | 3.77              | 3.85            |
| Uses assets wisely                                                 | 4.00              | 4.06            | 3.81              | 3.63              | 3.97            |
| Dynamic                                                            | 3.42              | 3.69            | 3.44              | 3.28              | 3.00            |
| Well-known                                                         | 3.11              | 3.00            | 3.04              | 3.41              | 2.87            |
| Non-political                                                      | 3.14              | 3.17            | 3.06              | 3.29              | 3.19            |
| Idealistic                                                         | 3.96              | 3.25            | 2.88              | 3.55              | 3.00            |
| Focuses on beneficiaries rather than<br>spending on administration | 4.09              | 4.18            | 4.25              | 4.00              | 3.93            |
| Dependable                                                         | 2.78              | 2.49            | 2.25              | 2.91              | 2.66            |
| Authoritative                                                      | 2.41              | 2.44            | 1.98              | 1.76              | 1.99            |
| Friendly                                                           | 3.00              | 2.65            | 1.96              | 2.95              | 2.00            |
| Warm                                                               | 2.91              | 2.99            | 1.86              | 3.00              | 1.68            |
| Accessible                                                         | 2.99              | 2.98            | 2.07              | 1.84              | 2.05            |

‘relevant’. When the means for the first seven average values of each column of Table 3 were compared against the means of the averages for items 8–12, the differences were significant ( $P < 0.01$ ) in all cases.

Factor scores were now computed for each of the seven factors for each respondent in the main study and their mean values compared for the three sub-samples; no significant differences emerged. Likewise, no substantial disparities in response patterns became evident (using the Mann-Whitney U-test available on SPSS) when the data were broken down with respect to either respondent age, sex and whether they were in the top or bottom half of the educational background spectrum, or the six charities named in the course of the investigation. Thus it was considered appropriate to regard the data arising from the various sub-groups as a single whole and to analyze it collectively. Accordingly, factor scores for the all-sample data were employed as independent variables in the regression shown in Table 4, which measures the impact of the seven factors on the respondent’s overall assessment of the specific charities about which he or she was

questioned. If the seven suggested groupings of variables are in fact critical dimensions of people’s impressions of charitable organizations then powerful connections should exist between the seven factors and the respondent’s general evaluation. Table 4 reveals that this is indeed the case. All seven (orthogonal) factors exerted a significant influence on respondents’ overall impression of a charity, thus confirming the salience of the seven-fold taxonomy identified by the factor analysis.

An interesting question is whether people who regarded the first seven reasons for admiring a charity listed in Table 2 as being especially strong were also people who donated more to charity than others. If so, this would suggest that the factors identified in the present study represent significant fund-raising triggers. A question regarding how much the respondent had donated to charity over the previous two months (£0–2.50, £2.50–5, etc) had been incorporated into the questionnaire reported in Table 2, thus enabling an analysis of possible connections between these variables and levels of respondents’ contributions. Table 5 gives the outcome of a regression analysis ( $N = 63$ ) intended to explore this matter.

**Table 4: Overall impression of a charity**

Dependent variable: 'What is your overall impression of the charity?'  
(5 = highly favorable; 1 = highly unfavorable)

| <i>Factor scores</i>       | <i>Beta coefficient<br/>(T-values)</i> |
|----------------------------|----------------------------------------|
| F1: Compassion             | 0.722<br>(5.166)**                     |
| F2: Reputation             | 0.501<br>(4.229)**                     |
| F3: Dynamism               | 0.509<br>(4.204)**                     |
| F4: Popularity             | 0.266<br>(2.994)*                      |
| F5: Political orientation  | 0.205<br>(2.901)*                      |
| F6: Idealism               | 0.402<br>(3.555)**                     |
| F7: Focus on beneficiaries | 0.613<br>(4.094)**                     |
| <i>Regression R-square</i> | 0.925                                  |

Note: \* $p < 0.01$ ; \*\* $p < 0.001$ .

The independent variables were the respondents' composited average scores for the five reasons for admiring a charity (compelling, relevant, believable, etc).

Table 5 shows four dimensions of significant (self-reported) donation levels. People who believed that a charity's compassion, dynamism, wise use of assets and focus on beneficiaries were especially important reasons for admiring a charity tended to give more to charity than did others. This suggests the need for charities to emphasize these characteristics when appealing for donations.

### CONCLUSION AND IMPLICATIONS FOR CHARITY MARKETING

The image and reputational descriptors employed by the present study segmented distinctly and significantly into precise and meaningful factors. Therefore, hypothesis 1 is rejected: a single underlying general

**Table 5: Levels of donation**

Dependent variable: Amount given to charity over a two-month period

| <i>Descriptor (see Table 2)</i>                              | <i>Beta coefficient<br/>(T-values)</i> |
|--------------------------------------------------------------|----------------------------------------|
| Compassionate                                                | 0.612<br>(5.344)**                     |
| Charity uses its assets wisely                               | 0.549<br>(4.997)**                     |
| Dynamic                                                      | 0.303<br>(2.012)*                      |
| Charity is very well known                                   | 0.119<br>(1.422)                       |
| Charity is non-political                                     | 0.234<br>(1.115)                       |
| Idealistic                                                   | 0.305<br>(1.263)                       |
| Focuses spending on beneficiaries rather than administration | 0.211<br>(3.212)*                      |
| <i>Regression R-square</i>                                   | 0.697                                  |

Note: \* $p < 0.05$ ; \*\* $p < 0.01$ .

factor connecting all image and reputational characteristics does not appear to exist. Moreover there were two important factors (F2 and F4, jointly accounting for nearly a fifth of all variations within the data) which clearly related to reputation (as specified by previous academic literature on the subject), and five which involved various aspects of charity image. The factors were uncorrelated. Thus hypothesis 2 is also rejected. Rather, a varimax (orthogonal) factor rotation which generated particular conceptual sub-divisions of the charity image and reputation constructs gave the best results. This outcome is consistent with the third hypothesis. Hence the conclusion of the study is that, so far as this particular sample of respondents was concerned, image and reputation represent two *separate* and *discrete* constructs. The image factors related to compassion, dyna-

mism, idealism, a focus on beneficiaries, and on being 'non-political'. Factor 2 overwhelmingly comprised variables adapted from the *Fortune* reputation index. The other reputational factor involved an organization being 'well known'.

These results have clear implications for charity marketing and public relations activities. They suggest that a charitable organization needs to tailor its marketing communications around the projection of an *image* based on representations of being caring and compassionate, non-political, dynamic (but in an idealistic way), and of devoting its resources to beneficiaries rather than spending on administration. Such themes should be emphasized in all a charity's marketing communications. Conversely, a charity's *reputation*, according to the findings of this investigation, should be constructed around exactly the same variables which are known to determine the reputational rankings of large commercial firms (notably the *Fortune* index variables). It is relevant to note in this respect that, although the *Fortune* index has been criticized extensively (see Caruana, 1996 and van Riel, 1995: 101-102 for details of relevant literature) on the grounds that it rests heavily on matters related to financial orientation, it has been found to perform well in a variety of disparate situations (see Fombrun and Shanley, 1990; Cordeiro, 1999). The outcomes of the present study are consistent with the proposition that the *Fortune* index is fundamentally sound and that it can reasonably be employed to rank the reputations of organizations outside the commercial sector.

This study was conducted in London, the capital city of England. Further research is required to establish whether the results hold true in other parts of the country and in other comparable industrialized states. Also, the investigation evaluated the perceptions of just one charity audience (potential donors) and was not concerned with other

key constituencies such as charity trustees, local and national politicians, charity employees, and unpaid voluntary workers, newspaper and magazine editors and other media contacts. It would be useful to assess the impressions of charity image and reputation held by these other (highly important) audiences. Additionally an in-depth analysis of the charity image and reputation perceptions of specific donor segments would be valuable, eg of individuals known to donate heavily to particular types of charity (animal or medical research charities for instance) or people with differing domestic circumstances. Is it the case that donors possessing differing innate personality traits see a charity's image and reputation differently? If so, then what are the causes of these disparate perceptions? The significance of F4 is also worthy of further investigation. Why *exactly* is it the case that charities regarded by the public as being 'well known' are also seen as highly reputable?

## REFERENCES

- Albert, S. and Whetten, D. (1985) 'Organizational identity' in *Research in Organizational Behaviour*, Vol. 7, Cummings, L. and Staw, E. (eds) JAI Press, Greenwich, CT, 263-295.
- Alreck, P. L. and Settle, R. B. (1995) *Survey Research Handbook*, Irwin, Boston, MA.
- Balmer, J. M. T. (1995) 'Corporate branding and connoisseurship', *Journal of General Management*, 21(1), 24-45.
- Balmer, J. M. T. (1998) 'Corporate identity and the advent of corporate marketing', *Journal of Marketing Management*, 14(8), 963-996.
- Bennett, R. (1997) 'The representativeness heuristic as a determinant of public perceptions of banking organizations', *Journal of Communications Management*, 2(2), 137-148.
- Bennett, R. (1998) 'Market orientation among small to medium sized UK charitable organizations: Implications for fund-raising performance', *Journal of Nonprofit and Public Sector Marketing*, 6(1), 31-45.
- Bennett, R. and Gabriel, H. (1998) 'Direct marketing managers in UK charitable organizations', *Journal of Nonprofit and Voluntary Sector Marketing*, 3(2), 160-172.
- Bennett, R. and Kottasz, R. (2000) 'Practitioner per-

- ceptions of corporate reputation: An empirical investigation', *Corporate Communications: An International Journal*, 5(4), 224–234.
- Caruana, A. (1996) 'Organizational reputation: Concept and measurement' in *2021 A Vision for the Next 25 Years*, Proceedings of the 1996 MEG Conference, CD-ROM Track 4 Session A, University of Strathclyde, UK.
- Charity Commission (2003) *Facts and Figures*, <http://www.charity-commission.gov.uk/ccfacts.htm>.
- Cordeiro, J. J. (1999) 'Some preliminary evidence on the structure and determinants of global corporate reputations', paper presented at the 3rd International Conference on Corporate Reputation, Image and Competitiveness, Puerto Rico, January 6–9, 1999, Stern School of Business, New York University, NY.
- Dolon, L. (1998) 'Charities cash in on names', *Sunday Times*, February 8, 46.
- Dowling, G. R. (1986) 'Managing your corporate image', *Industrial Marketing Management*, 15(2), 109–115.
- Dutton, J. E., Dukerich, J. M. and Harquail, C. V. (1994) 'Organizational images and member identification', *Administrative Science Quarterly*, 39(2), 239–263.
- Far Eastern Economic Review* (Levering and Moskowitz), 'Review 200', Plume.
- Financial Times*, 'Europe's Most Respected Companies', annual publication.
- Fombrun, C. (1998) 'Indices of corporate reputation: An analysis of media rankings and social monitors' ratings', *Corporate Reputation Review*, 1(4), 327–340.
- Fombrun, C. and Shanley, M. (1990) 'What's in a name? Reputation building and corporate strategy', *Academy of Management Journal*, 33(2), 233–258.
- Fombrun, C. and van Riel, C. B. M. (1997) 'The reputational landscape', *Corporate Reputation Review*, 1(1/2), 5–13.
- Fryxell, G. E. and Wang, J. (1994) 'The Fortune corporate reputation index: Reputation for what?' *Journal of Management*, 20(1), 1–14.
- Gray, E. R. and Balmer, J. M. T. (1998) 'Managing corporate image and corporate reputation', *Long Range Planning*, 31(5), 695–702.
- Hatch, M. J. and Schultz, M. (1997) 'Relations between organizational culture, identity and image', *European Journal of Marketing*, 31(5/6), 356–365.
- Herbig, P. and Milewicz, J. (1995) 'To be or not to be ... credible that is: A model of credibility among competing firms', *Marketing Intelligence and Planning*, 13(6), 24–33.
- Hibbert, S. A. and Horne, S. (1997) 'Donation dilemmas: A consumer behaviour perspective', *Journal of Nonprofit and Voluntary Sector Marketing*, 2(3), 261–271.
- Jenkins, J. and Jolly, A. (1999) *Guide to Corporate Sponsorship of Good Causes*, Kogan Page, London, UK.
- Kennedy, S. (1998) 'The power of positioning: A case history from the Children's Society', *Journal of Nonprofit and Voluntary Sector Marketing*, 3(3), 224–230.
- McLean, F. (1998) 'Corporate identity: What does it mean for museums?', *Journal of Nonprofit and Voluntary Sector Marketing*, 3(1), 11–21.
- McQuail, D. (1985) 'Sociology of mass communication', *Annual Review of Sociology*, 11, 93–111.
- Nichols, J. E. (1996) 'Fund-raising in the USA and the United Kingdom: Comparing today with directions for tomorrow', *Journal of Nonprofit and Voluntary Sector Marketing*, 2(2), 148–153.
- Nunnally, J. C. and Bernstein, I. H. (1994) *Psychometric Theory*, 3rd Edition, McGraw-Hill, New York, NY.
- Park, C. W. and Lessig, V. P. (1985) 'Familiarity and its impact on consumer biases and heuristics', *Journal of Consumer Research*, 12(3), 223–230.
- Paton, R. (2002) 'Aces high: Charity administration costs', *Financial Management*, July/August, 40–42.
- Ramrayka, L. (1998) 'You need a firm grasp of business techniques to survive in the charity sector these days — but is this a good thing?', *Fundraising*, June 29, 11–13.
- Sargeant, A. (1995) 'Market segmentation in the charity sector: An examination of common practice', in *Making Marketing Work*, Proceedings of the 1995 MEG Conference, Vol. 2, Jobber, D. (ed) University of Bradford, Bradford, UK, 693–702.
- Sargeant, A. (1999) 'Charitable giving: Towards a model of donor behaviour', *Journal of Marketing Management*, 15(4), 215–238.
- Saxton, J. (1995) 'A strong charity brand comes from strong beliefs and values', *Journal of Brand Management*, 2(4), 211–220.
- Saxton, M. K. (1998) 'Where do corporate reputations come from?', *Corporate Reputation Review*, 1(4), 393–399.
- Schlegelmilch, B., Love, A. and Diamantopoulos, A. (1997) 'Responses to different charity appeals: The impact of donor characteristics on the amount of donations', *European Journal of Marketing*, 31(8), 548–560.
- Tapp, A. (1996) 'Charity brands: A qualitative study of current practice', *Journal of Nonprofit and Voluntary Sector Marketing*, 1(4), 327–336.

van Riel, C. B. M. (1995) *Principles of Corporate Communication*, Prentice Hall Europe, Hemel Hempstead, UK.

Wray, B. R. (1994) 'Branding, product development and positioning the charity', *Journal of Brand Management*, 1(6), 363–370.

## APPENDIX: THE QUESTIONNAIRE

### Section 1

I am conducting research into the public image of British charities. I would like to ask you some questions about your impressions of two charities: XXX and YYY. Have you heard of these charities? (If not, alternatives were substituted from a list of the UK's top ten fund-raising charities.) You do not need to know much about these charities: the research concerns people's instant responses to words and phrases that might describe how they perceive a charity's image. Just give the first impression that comes into your mind.

#### I regard charity XXX as one that (five-point scales):

- (a) is well-managed/badly managed; provides excellent/poor service to the people/children/animals that it exists to help; uses its assets wisely/foolishly; is financially sound/weak; does/does not have a good long-term future; employs excellent/mediocre employees; is innovative/reluctant to take up new things;
- (b) is very well known/not very well known (Fombrun and Shanley, 1990; van Riel, 1995); has/has not achieved a great deal (van Riel, 1995); is a charity that others should/should not try to emulate (*Far Eastern Economic Review* corporate reputation index);
- (c) is efficient/inefficient (Sargeant, 1995; Schlegelmilch *et al.*, 1997); focuses/does not focus its spending on beneficiaries rather than spending on administration (Nichols, 1996; Schlegelmilch *et al.*, 1997; Tapp, 1996; Hibbert and Horne, 1997); is a charity that gets/does not get things done (Wray, 1994; Tapp, 1996); is non-political/highly political (McLean, 1998); is trustworthy/untrustworthy (Tapp, 1996); is reliable/unreliable (Hibbert and Horne, 1997); is competent/incompetent (Wray, 1994; Sargeant, 1995);
- (d) is caring/uncaring (Wray, 1994); is compassionate/not compassionate (Nichols, 1996); is sensitive/insensitive (Kennedy, 1998); is visionary/short sighted (Tapp, 1996; *Far Eastern Economic Review*); is idealistic/practical and down to earth (Nichols, 1996); is progressive/old fashioned (Wray, 1994; Kennedy, 1998).

Shuffled orderings of the items were presented to test subjects. Questions were now repeated in relation to the second charity.

#### Deleted items

Can/cannot cope with change (this *Financial Times* reputation index item correlated very closely in the pre-test with the *Fortune* 'innovative' item); high-profile (correlated with 'well known'); sound, solid, little risk of collapse (all correlated with 'financially sound'); admirable, likeable, reputable (correlated with 'is a charity that others should try to emulate'); targets the right causes, low administrative costs, focus on beneficiaries (all correlated with 'focus spending on beneficiaries rather than administration'); expert, professional

(both correlated with ‘competent’ and ‘gets things done’); honest (correlated with ‘trust-worthy’); dependable (correlated with ‘reliable’); sympathetic, kind, altruistic (all correlated with ‘compassionate’ and ‘caring’); passionate (correlated with ‘visionary’ and ‘idealistic’); positive, modern, energetic (all correlated with ‘progressive’).

Additionally the following outliers were identified and excluded: interesting/uninteresting; rational/irrational; logical/illogical.

## Section 2

(i) I am male/female (please circle)

(ii) My age group is:

Under 21      21-25      26-35      36-45      46-55      56 or over

(iii) On leaving school or college my highest level of educational qualification was  
(*please circle*):

GCSE / O Levels / GNVQ / BTEC National / A Levels / HND or Degree /  
Professional Qualification / Post-graduate Qualification.

(iv) What is your overall impression of charity XXX/YYYY?

(Five-point scale: 5 = highly favorable; 1 = highly unfavorable)

